Florida Protected Series, LLC
Series LLC Owner's Manual

A Plain-English Guide to Understanding, Using, Maintaining, and Protecting a Florida Series LLC

Prepared for owners, members, managers, and users of Florida series LLC structures

IMPORTANT DISCLAIMER

This manual is provided by Florida Protected Series, LLC for general educational and informational purposes only. It is not legal advice, tax advice, accounting advice, financial advice, investment advice, title advice, insurance advice, or real estate advice.

No attorney-client relationship, accountant-client relationship, fiduciary relationship, advisory relationship, or confidential relationship is created by this manual. Laws change, tax rules are complex, and the correct treatment of a particular transaction depends on the facts. You should consult your own attorney, CPA, tax advisor, title company, lender, insurance professional, and other appropriate advisors before forming, using, transferring assets to, operating, taxing, or relying on a series LLC.

This manual is written with a focus on Florida series LLCs. Florida's protected series LLC law has a delayed effective date of July 1, 2026, and Florida law states that a domestic LLC formed before July 1, 2026 may not create or designate a protected series before the effective date of the act.

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1. WHAT IS A SERIES LLC?

A series LLC is a limited liability company that can create one or more internal "protected series." Think of the parent LLC as the main legal container and each protected series as a separate internal compartment.

A traditional LLC usually has one pool of assets and one pool of liabilities. If the LLC owns three rental properties, all three properties are usually exposed to liabilities of the LLC unless separate entities or other protections are used.

A series LLC is different. It is designed so that separate protected series can hold separate assets, conduct separate activities, keep separate records, and potentially isolate liabilities from one another.

Simple example:

Florida Protected Series, LLC
→ Protected Series A: Rental Property 1
→ Protected Series B: Rental Property 2
→ Protected Series C: Equipment
→ Protected Series D: Consulting Business

The main advantage is that the owner may be able to operate multiple assets or business lines under one overall LLC structure while separating the risks of each series.

Florida's protected series law provides that a protected series is not liable for the debts or obligations of the company or another protected series solely because it is a protected series, and the series LLC is not liable for the debts or obligations of a protected series solely because the series exists within the company.

2. WHY USE A SERIES LLC?

A properly used series LLC may offer several advantages.

Administrative efficiency

Instead of forming a separate LLC for every property, asset, business line, or investment, an owner may use one parent series LLC and multiple protected series.

Liability segregation

The main purpose of a protected series is liability separation. If Series A owns Property A and Series B owns Property B, a claim involving Property A should generally be limited to the assets associated with Series A, assuming the structure is properly created, documented, operated, and respected.

Cost efficiency

A series LLC may reduce the need for multiple separate LLCs, multiple operating agreements, multiple sets of state filings, and multiple registered agents. However, cost savings should never come at the expense of proper recordkeeping, insurance, accounting, tax planning, or legal compliance.

Organizational clarity

A series structure can help an owner track assets separately. For example, each property, project, brand, or investment can have its own series, records, income, expenses, contracts, and liability profile.

Flexibility

Different series may have different associated assets, different associated members, different managers, different business purposes, and different economic arrangements, depending on the operating agreement and applicable law.

Important warning

A series LLC is not magic. It does not protect against everything. It does not eliminate taxes. It does not replace insurance. It does not protect a person from their own wrongdoing. It does not automatically fix bad bookkeeping. It does not prevent liability if assets are titled incorrectly, contracts are signed incorrectly, or the owner treats the company like a personal bank account.

The series LLC rewards disciplined owners. It punishes careless ones.

3. THE FLORIDA SERIES LLC STRUCTURE

Florida's protected series LLC law is new. The legislation was passed in 2025 with a delayed effective date of July 1, 2026.

Under Florida law, a limited liability company may establish a protected series with the affirmative vote or consent of all members unless the operating agreement modifies that rule.

A Florida series LLC generally involves:

1. The series limited liability company, sometimes called the parent LLC or main LLC.
2. One or more protected series created under the parent LLC.
3. An operating agreement that authorizes and governs the series structure.
4. Separate records identifying which assets belong to the parent LLC and which assets belong to each protected series.
5. Proper state filings to designate protected series.
6. Separate accounting and operational discipline.

The key concept is this: the parent LLC and each protected series must be treated as separate economic and operational compartments.

That means separate books, separate asset schedules, proper titling, proper contracts, proper tax planning, and careful documentation.

4. KEY TERMS YOU NEED TO KNOW

Key Terms Used in This Manual

This Manual uses several legal and business terms that may be unfamiliar if you have not owned or operated a limited liability company before. Understanding these terms will make it easier to understand how a Florida protected series LLC works, how assets should be titled, who has authority to act, and how liability protection is maintained.

Limited Liability Company, or LLC

A limited liability company, often called an LLC, is a legal entity formed under state law. An LLC is separate from its owners. This means that, when properly formed and maintained, the LLC can own property, enter into contracts, operate a business, open bank accounts, borrow money, sue or be sued, and conduct business in its own name.

The main reason people use LLCs is to create a legal separation between the business and the individual owners. If the LLC is properly used, the debts and liabilities of the LLC generally belong to the LLC, not personally to its members. This protection is not automatic in every situation, and it can be lost if the LLC is misused, ignored, undercapitalized, or treated as the personal alter ego of its owners.

Series LLC

A series LLC is an LLC that has the ability to create one or more internal divisions called protected series. You can think of the series LLC as the “main” or “umbrella” LLC. The protected series are separate protected cells or divisions underneath that umbrella.

A Florida protected series LLC may have different protected series, and each protected series may have its own assets, liabilities, business purpose, associated members, and managers. For example, one Florida protected series LLC might have:

• Series A, which owns Rental Property 1;
• Series B, which owns Rental Property 2;
• Series C, which operates a consulting business; and
• the main LLC, which may or may not own assets directly.

The purpose of the structure is to help separate assets and liabilities without necessarily forming a brand-new LLC for every separate property, asset, or business line.

Protected Series

A protected series is a legally recognized series created under the main series LLC. Each protected series is designed to have its own separate legal identity for many practical purposes. A protected series may have its own assets, debts, records, bank account, contracts, associated members, and protected-series managers.

The word “protected” is important. It refers to the intended liability shield between the main series LLC, each protected series, and the other protected series. In plain English, if Series A owns one asset and Series B owns a different asset, the goal is for a creditor of Series A to be limited to the assets of Series A and not reach the assets of Series B, the main LLC, or the members personally. That protection depends heavily on proper formation, proper records, accurate asset titling, separate accounting, and careful operation.

Member

A member is an owner of the LLC. In a traditional LLC, the members are the people or entities that own membership interests in the company. A member may be an individual, another LLC, a corporation, a trust, or another legal entity.

A member is not automatically the same thing as a manager. A member owns an interest in the LLC. A manager controls or helps control the business. In some LLCs, the same person may be both a member and a manager. In other LLCs, the owners may appoint someone else to manage the business.

For a Florida protected series LLC, the concept of a member is especially important because a person generally must be a member of the main series LLC before that person can be an associated member of a protected series.

Associated Member

An associated member is a member of the main series LLC who is also connected with a particular protected series.

This is one of the most important terms in a protected series LLC. A person may be a member of the main LLC, but that does not necessarily mean the person has an ownership interest in every protected series. A member becomes an associated member of a particular protected series only if the operating agreement, or a procedure established by the operating agreement, identifies that person as an associated member of that protected series.

For example:

- Alex and Jordan may both be members of Florida Protected Series, LLC.
- Alex may be the only associated member of Series A.
- Jordan may be the only associated member of Series B.
- Alex and Jordan may both be associated members of Series C.

This distinction matters because the economic rights, voting rights, management rights, and tax allocations of a particular series may depend on who is associated with that series.

Manager

A manager is a person or entity with authority to manage the LLC or a protected series. In a manager-managed LLC, the manager is responsible for running the business, signing contracts, making decisions, and acting on behalf of the company, subject to the operating agreement.

A manager does not have to be an owner unless the operating agreement or applicable law requires it. This means a person can manage the LLC without owning it, and a member can own part of the LLC without managing it.

In a protected series LLC, there may be managers for the main LLC and separate protected-series managers for individual protected series.

Protected-Series Manager

A protected-series manager is the person or entity authorized to manage a specific protected series. This person may be different from the manager of the main LLC or the manager of another protected series.

For example:

- The main LLC may be managed by Manager 1.
- Series A may be managed by Manager 2.
- Series B may be managed by Manager 3.

This flexibility is one of the advantages of a protected series LLC. Different people can manage different assets or business lines without giving everyone authority over everything.

However, it is important that the operating agreement clearly identify who has authority to act for each protected series. Banks, title companies, lenders, tenants, vendors, and contract parties may need to know whether a person is signing for the main LLC or for a specific protected series.

Member-Managed LLC

A member-managed LLC is an LLC where the members themselves manage the business. In a member-managed LLC, the owners generally have authority to act for the company, unless the operating agreement limits that authority.

This structure is common for small businesses where the owners are actively involved in day-to-day operations. However, it can create confusion if there are multiple members and no clear rules about who may sign contracts, open accounts, transfer property, or bind the company.

Manager-Managed LLC

A manager-managed LLC is an LLC where management authority is placed in one or more managers. The members still own the company, but they do not automatically have authority to manage or bind the company merely because they are members.

This structure is often useful when some owners are passive investors, when management authority needs to be centralized, or when different protected series need different managers.

Operating Agreement

The operating agreement is the internal governing document for the LLC. It is one of the most important documents for any LLC, and it is especially important for a protected series LLC.

The operating agreement should explain, among other things:

• who the members are;
• whether the LLC is member-managed or manager-managed;
• who has authority to act for the LLC;
• how protected series may be created;
• who the associated members of each protected series are;
• who manages each protected series;
• how profits and losses are allocated;
• how records must be kept;
• how assets should be titled;
• how transfers of interests are handled;
• what approvals are required for major decisions; and
• how the LLC or a protected series may be dissolved.

A protected series LLC should not rely on informal understandings. The operating agreement should clearly document how the structure works.

Articles of Organization

The articles of organization are the formation document filed with the Florida Department of State to create the LLC. This document brings the LLC into existence under Florida law.

The articles of organization are different from the operating agreement. The articles are filed with the state. The operating agreement is usually an internal private contract among the members and the company.

Protected Series Designation

A protected series designation is the filing or designation used to create a protected series under the main series LLC. This is the formal step that identifies a particular protected series.

A protected series should not be treated as properly created merely because the owners casually refer to “Series A” or keep a spreadsheet listing different assets. The required formation steps should be followed, and the protected series should be clearly identified in the company records.

Asset

An asset is anything owned by the LLC or a protected series. Assets may include real estate, bank accounts, vehicles, equipment, intellectual property, contract rights, inventory, membership interests, or other property.

In a protected series LLC, it is very important to know which asset belongs to which legal owner. An asset may belong to the main LLC directly, a specific protected series, or someone else entirely.

Poor asset records can create confusion and may weaken the liability separation between the LLC and its protected series.

Associated Asset

An associated asset is an asset that belongs to, or is associated with, a specific protected series. For example, if Series A owns a rental property, that property should be treated as an associated asset of Series A.

Associated assets should be properly titled, recorded, insured, and accounted for in the name of the correct protected series. The books and records should make it clear that the asset belongs to that protected series and not to the main LLC generally or to another series.

Liability

A liability is a debt, obligation, claim, lawsuit risk, contract duty, loan, judgment, or other legal responsibility. Just as assets should be associated with the correct LLC or protected series, liabilities should also be associated with the correct LLC or protected series.

For example, if Series B signs a lease, borrows money, or hires a contractor, the records should show that the obligation belongs to Series B, not Series A and not the main LLC generally.

Transferable Interest

A transferable interest is generally the economic interest a person owns in the LLC or in a protected series. This usually means the right to receive distributions, profits, or other economic benefits.

A transferable interest is not always the same thing as full ownership or management control. A person may receive economic rights without receiving voting rights, management rights, or the right to participate in company decisions.

Protected-Series Transferable Interest

A protected-series transferable interest is the economic interest connected with a particular protected series. For example, if a member is entitled to 50% of the profits from Series A, that economic right may be treated as a protected-series transferable interest.

This concept matters because a person may have an economic interest in one protected series but not another. The operating agreement and company records should clearly identify each person's rights with respect to each protected series.

Distribution

A distribution is money or property paid by the LLC or a protected series to a member or associated member. Distributions are different from wages, guaranteed payments, reimbursements, or loan repayments.

For example, if Series A earns rental income and distributes net profits to its associated members, those payments are distributions. The operating agreement should explain when distributions may be made, who approves them, and how they are calculated.

Charging Order

A charging order is a legal remedy that a creditor may use against a member's economic interest in an LLC. In simple terms, if a member personally owes money to a creditor, the creditor may try to obtain a charging order against that member's LLC interest.

A charging order generally gives the creditor the right to receive distributions that would otherwise be paid to the debtor-member. It does not automatically give the creditor ownership of LLC property or the right to manage the LLC. This is one reason LLCs are often used in asset protection planning.

Piercing the Corporate Veil

Piercing the corporate veil refers to a situation where a court disregards the legal separation between a business entity and its owners. If that happens, the owners may become personally responsible for business debts or liabilities.

Although LLC owners often use the phrase "corporate veil," the same basic idea applies to LLCs. The liability shield can be weakened if the LLC is not treated as separate from its owners. Common risk factors include mixing personal and company funds, failing to keep records, using company accounts for personal expenses, undercapitalizing the business, failing to follow the operating agreement, or using the LLC to commit fraud or injustice.

For a protected series LLC, the same idea applies not only between the owners and the LLC, but also between the main LLC and each protected series. Each protected series should be treated as separate in practice, not just on paper.

Separate Books and Records

Separate books and records means keeping clear financial and legal records for the main LLC and for each protected series. This may include separate accounting ledgers, separate bank accounts, separate contracts, separate invoices, separate insurance policies, and separate asset schedules.

For a protected series LLC, separate records are not just good housekeeping. They are central to maintaining the liability separation among the main LLC and its protected series.

Company Records

Company records are the formal and informal records that show how the LLC and its protected series are owned, managed, funded, operated, and maintained. These may include:

- the articles of organization;
- protected series designations;
- the operating agreement;
- amendments;
- member consents;
- manager resolutions;
- tax records;
- accounting records;
- asset schedules;
- contracts;
- deeds;
- bank records;
- insurance records; and
- annual reports.

Good records help prove that the LLC and each protected series were properly created, properly operated, and treated as separate.

Annual Report

An annual report is a filing made with the Florida Department of State to keep the LLC active. Filing an annual report does not replace the need for an operating agreement, tax filings, proper accounting, or internal company records. It is simply one of the state-level maintenance requirements for keeping the LLC in good standing.

Good Standing

An LLC is generally in good standing when it has made its required state filings, paid required fees, and has not been administratively dissolved or otherwise suspended. Good standing matters because banks, lenders, title companies, investors, and contract parties may ask for proof that the LLC is active and authorized to do business.

Registered Agent

A registered agent is the person or company designated to receive official legal papers and state notices for the LLC. This may include lawsuits, subpoenas, service of process, and notices from the Florida Department of State.

The registered agent must be kept current. If the registered agent information is wrong, the LLC may miss important legal notices.

Principal Office

The principal office is the main business office or address listed for the LLC. This is not necessarily the same as the registered agent address. The principal office is generally where the company's main business records or administrative operations are located.

EIN

An EIN, or Employer Identification Number, is a federal tax identification number issued by the IRS. It is similar to a Social Security number for a business. LLCs often need an EIN to open bank accounts, file tax returns, hire employees, or make certain tax elections.

Disregarded Entity

A disregarded entity is a tax classification, not a liability classification. If a single-member LLC is disregarded for federal income tax purposes, the IRS generally treats the LLC's income and expenses as belonging directly to its owner for income tax reporting purposes.

This does not mean the LLC is disregarded for legal liability purposes. A properly formed and maintained disregarded LLC may still provide liability protection under state law.

Partnership Taxation

An LLC with more than one member is often taxed as a partnership by default unless it elects another tax classification. Partnership taxation generally means the LLC files an informational tax return, and the members report their shares of income, deductions, gains, losses, and credits on their own tax returns.

S Corporation Election

An S corporation election is a tax election that some LLCs make with the IRS. An LLC that elects S corporation tax treatment is still legally an LLC under state law, but it is taxed under special federal tax rules.

This election may offer tax advantages in some situations, but it also creates additional requirements and limitations. It should be evaluated with a qualified tax professional.

C Corporation Election

A C corporation election is another possible tax classification. An LLC taxed as a C corporation pays tax at the entity level, and owners may also pay tax on dividends or distributions. This structure is less common for many small LLCs but may be useful in certain business or investment situations.

Titling

Titling refers to the way legal ownership of an asset is written on deeds, bank accounts, contracts, vehicle titles, investment accounts, or other ownership records.

In a protected series LLC, titling is extremely important. An asset titled only in the name of the main LLC may be treated differently from an asset titled in the name of a specific protected series. To preserve the intended liability separation, assets should be titled carefully and consistently.

For example, there may be a significant difference between titling property as:

Florida Protected Series, LLC

and titling property as:

Florida Protected Series, LLC, Series A

The correct form depends on the asset, the intended owner, the operating agreement, applicable law, lender requirements, title company requirements, and tax considerations.

Authority to Act

Authority to act means the legal power to sign documents, enter into contracts, transfer assets, borrow money, open accounts, or otherwise bind the LLC or a protected series.

Not every member automatically has authority to act for every LLC or every protected series. Before signing any document, the signer should confirm whether they are signing personally, for the main LLC, for a specific protected series, as a member, as a manager, or as a protected-series manager.

The signature block should make that authority clear.

Signature Block

A signature block is the section of a contract, deed, lease, or other document that shows who is signing and in what capacity. Proper signature blocks are important because they help show that the person is signing on behalf of the LLC or protected series, not personally.

For example, a signature block might identify the signer as manager of a specific protected series rather than as an individual. This helps reduce confusion about who is legally bound by the document.

Layperson’s Summary

In simple terms:

• The series LLC is the main umbrella company.
• A protected series is a separate protected division under that umbrella.
• A member is an owner of the main LLC.
• An associated member is a member connected to a specific protected series.
• A manager runs the LLC or part of it.
• A protected-series manager runs a specific protected series.
• An asset is something owned.
• A liability is something owed or a legal risk.
• The operating agreement is the rulebook.
• Titling determines who legally owns an asset.
• Separate records help preserve liability protection.
• Good standing means the company has kept up with required state filings.
• Piercing the veil means a court ignores the liability shield because the entity was misused.

Understanding these terms is the first step to properly using a Florida protected series LLC. The structure can be powerful, but only if the owners, managers, and associated members understand which assets belong to which series, who has authority to act, and how to maintain the legal separation that gives the structure its value.

5. FORMATION AND CREATION OF PROTECTED SERIES

A Florida series LLC should not be treated as “formed correctly” merely because the parent LLC exists. The parent LLC must be set up to support the protected series structure.

At a minimum, the owner should confirm:

1. The parent LLC is properly formed.
2. The articles and state filings allow or support protected series.
3. The operating agreement authorizes protected series.
4. Each protected series is properly designated.
5. The records identify each series and its assets.

6. The series has a clear name.
7. The company records identify associated members and managers.
8. The company keeps separate books and records for each series.
9. The company follows proper procedures when creating, changing, or dissolving a series.

Florida law requires annual reports for series LLCs to include the name of each protected series for which a designation has been filed and that has not dissolved and completed winding up. Failure to include a protected series in the annual report prevents issuance of a certificate of status for that protected series, though the statute says that failure does not otherwise affect the protected series.

6. PARENT LLC VS. PROTECTED SERIES

This is one of the most important parts of the manual.

A protected series is useful only if the owner understands the difference between assets owned by the parent LLC generally and assets associated with a specific protected series.

Example 1: Asset titled only in the parent LLC

Suppose a deed says:

Florida Protected Series, LLC

and does not mention a protected series.

That may indicate the asset is owned by the parent LLC, not by Series A, Series B, or any other protected series.

The practical result may be that the asset is exposed to parent-level liabilities and may not receive the intended series-level segregation.

Example 2: Asset associated with a protected series

Suppose the records and deed say something like:

Florida Protected Series, LLC, on behalf of Protected Series A

or another legally approved naming format.

That makes it clearer that the asset is associated with Series A.

Why this matters

The purpose of a series LLC is to separate assets and liabilities. If assets are not properly titled, assigned, recorded, or tracked, it becomes much harder to prove which assets belong to which series.

The owner should never rely on memory, informal notes, or assumptions.

The records should clearly answer:

1. What asset is involved?
2. Who owns it?
3. Which series is it associated with?
4. When was it acquired?
5. From whom was it acquired?
6. What consideration was paid?
7. Where is the transfer document?
8. Which bank account receives the income?
9. Which accounting ledger tracks the income and expenses?
10. Which insurance policy covers it?

Florida law requires records describing an associated asset with enough specificity for a reasonable disinterested person to identify the asset, distinguish it from other assets, and determine when and from whom the protected series acquired it or how it became an asset of the protected series.

7. TITLING ASSETS CORRECTLY

Asset titling is not a minor detail. It is central to series LLC protection.

General rule

Every meaningful asset should be clearly titled, assigned, or documented as belonging to either:

1. The parent LLC generally; or
2. A specific protected series.

Bad practice

“I know in my head that this property belongs to Series A.”

That is not enough.

Better practice

The deed, company records, accounting ledger, insurance records, leases, and asset schedule all identify the asset as associated with Series A.

Best practice

The owner maintains a complete series file containing:

1. Filed designation for the protected series.
2. Written company resolution approving the acquisition.
3. Deed, bill of sale, assignment, or transfer document.
4. Asset schedule.
5. Separate ledger.
6. Bank account or subaccount record.
7. Insurance policy or endorsement.
8. Lease or contract in the correct name.
9. Tax records.
10. Supporting correspondence.

Assets commonly needing careful title or assignment

1. Real estate.
2. Vehicles.
3. Bank accounts.
4. Brokerage accounts.
5. Equipment.
6. Inventory.
7. Intellectual property.
8. Websites and domain names.
9. Contracts.
10. Leases.
11. Licenses.
12. Accounts receivable.
13. Membership interests in other companies.
14. Notes receivable.
15. Security deposits.
16. Insurance policies.

8. TRANSFERRING ASSETS TO THE LLC OR A SERIES

An LLC or protected series does not automatically own your personal assets just because you formed it.

To transfer an asset, there must generally be a legally effective transfer.

The correct transfer method depends on the asset.

Real estate

Usually transferred by deed.

Vehicles

Usually transferred by certificate of title through the motor vehicle agency.

Bank accounts

Opened in the correct owner name using the correct EIN and company documents.

Equipment

Transferred by bill of sale, assignment, capital contribution agreement, or purchase document.

Contracts

Assigned only if the contract allows assignment or the other party consents.

Intellectual property

Assigned by written IP assignment and, where applicable, recorded with the appropriate registry.

Domain names

Transferred by registrar account change and internal assignment records.

Membership interests

Transferred under the operating agreement of the entity whose interest is being transferred.

Accounts receivable

Assigned by written assignment and reflected in the books.

Basic Asset Transfer Checklist

Before transferring an asset to the parent LLC or a protected series, ask:

1. Who currently owns the asset?

2. Is the asset transferable?
3. Is consent required?
4. Is lender approval required?
5. Is title company involvement needed?
6. Will taxes be triggered?
7. Will documentary stamp tax, sales tax, transfer tax, or recording fees apply?
8. Will insurance need to be changed?
9. Will the transfer violate a lease, loan, contract, license, or permit?
10. Is the transfer to the parent LLC or to a specific protected series?
11. Is there a written resolution approving the transfer?
12. Is there a written transfer document?
13. Is the asset schedule updated?
14. Are the books updated?
15. Is the correct bank account receiving income?
16. Is the correct series paying expenses?

9. REAL ESTATE TRANSFERS

Real estate is one of the most common reasons to use a series LLC, and it is also one of the easiest areas to make expensive mistakes.

Do not assume you can simply deed property into a series.

Before transferring real estate, consider:

1. Mortgage restrictions.
2. Due-on-sale clauses.
3. Lender consent.
4. Documentary stamp taxes.
5. Recording fees.
6. Title insurance consequences.
7. Property tax consequences.
8. Homestead issues.
9. Lease assignments.
10. Security deposits.
11. Insurance.
12. Local rental permits.
13. HOA or condominium restrictions.
14. Foreign qualification if the property is outside Florida.
15. Whether the title company understands series LLCs.

Real estate transfer example

Assume you personally own a rental property at 123 Main Street and want Series A to own it.

The usual process may involve:

1. Confirm Series A has been properly created.
2. Confirm the operating agreement authorizes Series A to own real estate.
3. Approve the transfer by written consent or resolution.
4. Prepare a deed from the current owner to the correct legal grantee.
5. Confirm the correct grantee naming convention with counsel and the title company.
6. Record the deed.
7. Update county property records.
8. Assign leases to the correct series if allowed.
9. Transfer security deposits to the correct account.
10. Update insurance.
11. Notify tenants where to pay rent.
12. Update accounting records.
13. Add the property to the Series A asset schedule.

Common real estate mistake

The owner forms a series LLC, but the deed remains in the owner's personal name.

In that case, the LLC or series does not own the property at all.

Another common mistake

The deed names only the parent LLC, while the owner believes the property belongs to Series A.

That mismatch can create ambiguity and may undermine the intended asset segregation.

10. BANK ACCOUNTS, BOOKS, AND RECORDS

A series LLC structure depends heavily on clean records.

Minimum recordkeeping expectation

Each protected series should have separate accounting records showing:

1. Income.
2. Expenses.
3. Assets.
4. Liabilities.
5. Contributions.
6. Distributions.

7. Loans.
8. Transfers.
9. Contracts.
10. Tax items.

Separate bank accounts are strongly recommended.

Although every situation is different, each protected series should generally have its own bank account when practical.

At minimum, the company should be able to prove:

1. Which money belongs to the parent LLC.
2. Which money belongs to Series A.
3. Which money belongs to Series B.
4. Which income came from which asset.
5. Which expenses relate to which series.
6. That personal funds were not commingled with company or series funds.

Bad banking practice

All rents, consulting income, expenses, owner withdrawals, repairs, and personal expenses flow through one account.

Better banking practice

The parent LLC has its own account, and each series has a separate account or clearly segregated subaccount.

Best banking practice

Each series has:

1. Its own bank account.
2. Its own bookkeeping ledger.
3. Its own income and expense records.
4. Its own contracts.
5. Its own insurance records.
6. Its own asset schedule.
7. Its own tax workpapers.

11. CONTRACTS, LEASES, AND SIGNATURE BLOCKS

Contracts should identify the correct contracting party.

If a contract relates to Series A, it should not casually name the owner individually or only the parent LLC.

Bad signature

John Smith

This may look like John personally signed the contract.

Better signature

Florida Protected Series, LLC
By: John Smith
Title: Manager

This identifies the LLC, but it may not identify a specific series.

Better for a series transaction

Florida Protected Series, LLC, on behalf of Protected Series A
By: John Smith
Title: Manager

or another legally appropriate format approved by counsel.

Why signature blocks matter

If you sign personally, you may become personally liable.

If you sign for the wrong entity, the wrong pool of assets may be exposed.

If the contract names the parent LLC when the asset belongs to Series A, the paperwork may conflict with the intended structure.

Contract checklist

Before signing any contract:

1. Identify the correct party.
2. Confirm whether the parent LLC or a protected series should sign.
3. Use the correct legal name.
4. Use the correct title.
5. Avoid signing personally unless personally guaranteeing the obligation intentionally.

6. Confirm whether a personal guarantee is included.
7. Confirm whether the contract prohibits assignment.
8. Keep the signed contract in the correct series file.
9. Record income and expenses under the correct series.

12. TAX TREATMENT OF A SERIES LLC

Tax treatment is one of the most important and misunderstood parts of a series LLC.

An LLC is a legal entity under state law, but for federal income tax purposes, an LLC may be classified in different ways.

For income tax purposes, a single-member LLC is generally treated as disregarded from its owner unless it files Form 8832 to elect corporate treatment. For employment tax and certain excise tax purposes, a single-member LLC may still be considered separate.

An LLC with more than one member is generally classified as a partnership unless it elects to be treated as a corporation.

Common tax classifications

A series LLC or a protected series may potentially be treated as:

1. A disregarded entity.
2. A partnership.
3. An S corporation.
4. A C corporation.

The correct treatment depends on ownership, elections, activity, and federal tax rules.

Disregarded entity

A single-member LLC is usually disregarded for federal income tax purposes unless it elects to be taxed as a corporation.

This means the LLC’s income and expenses are generally reported by the owner.

For an individual owner, this often means Schedule C, Schedule E, or Schedule F, depending on the activity.

But “disregarded” does not mean “nonexistent” for all purposes. It does not eliminate the state-law existence of the LLC. It also does not automatically eliminate employer tax, excise tax, sales tax, or state compliance obligations.

Partnership

A multi-member LLC is generally taxed as a partnership by default unless it elects corporate treatment.

A partnership usually files Form 1065 and issues Schedule K-1s to its members.

The partnership itself usually does not pay federal income tax in the same way a C corporation does. Instead, income, loss, deductions, and credits generally pass through to the partners.

S corporation

An LLC may be eligible to elect S corporation tax treatment if it meets the requirements. Form 2553 is used by qualifying small business corporations and LLCs to make the S corporation election.

An S corporation is generally a pass-through tax structure, but it comes with strict eligibility rules and payroll requirements. Owners who work in the business may need to be paid reasonable compensation. S corporation status should not be elected casually. Speak to your CPA or tax attorney before electing to treat your protected series LLC as an S corporation. S corporations can only be owned by certain individuals and trusts. They generally CANNOT be owned by other LLCs, partnerships, or corporations. If even a small percentage of the S corporation is owned by or transferred to an ineligible owner, the S election will be terminated which can produce catastrophic (i.e., very expensive) consequences.

C corporation

An LLC can elect to be taxed as a C corporation, usually by filing Form 8832.

C corporation taxation may make sense in some circumstances, but it can create double-taxation issues, payroll issues, retained earnings issues, and state tax issues.

A C corporation election should be reviewed carefully with a CPA.

13. THE “ONE TAX RETURN” ISSUE

This section is extremely important.

Many people assume that a series LLC always files one federal tax return that includes all income, expenses, losses, and deductions from all protected series.

That may be too simplistic.

The IRS and Treasury issued proposed regulations stating that, whether or not a domestic series is a juridical person under local law, it is treated as an entity formed under local law for federal tax purposes. The proposed regulations also state that classification of a series treated as a separate entity is determined under the same rules that govern other separate entities.

The proposed regulations further state that a series treated as a separate entity may make federal tax elections independently of other series or the series organization itself.

Practical meaning

The tax filing answer may depend on:

1. Whether each series is treated as a separate entity.
2. Whether each series has one owner or multiple owners.
3. Whether each series has made a tax election.
4. Whether the parent LLC has assets or activities.
5. Whether all series have the same owner.
6. Whether the series are disregarded to the same owner.
7. Whether a series is taxed as a partnership, S corporation, or C corporation.
8. Whether employment tax, sales tax, excise tax, or state tax rules apply.

Safer client-facing explanation

A series LLC may simplify legal administration, but tax reporting must be determined by a CPA. In some structures, income and expenses from multiple disregarded series owned by the same taxpayer may be reported together on the owner's return or workpapers. In other structures, one or more series may have separate tax filing obligations. A protected series may need its own EIN, tax classification analysis, books, records, and tax reporting position.

The owner should maintain separate accounting for each series even if the tax items are ultimately reported on one return or consolidated into one owner-level filing position. Do not assume that the protected series LLC always files a single income tax return. It may not; especially if different series have different associated members. ALWAYS check with your CPA or tax professional first before filing the income tax return for you Florida Protected Series LLC.

Best practice

Each series should maintain tax-ready records showing:

1. Gross income.
2. Expenses.
3. Depreciation.
4. Assets.
5. Liabilities.

6. Owner contributions.
7. Distributions.
8. Interseries transfers.
9. Loans.
10. Tax classification.
11. EIN.
12. Responsible party.
13. CPA notes.

14. STATE FILINGS AND ONGOING COMPLIANCE

A Florida LLC must remain active and in good standing.

Florida annual reports for LLCs are due each year between January 1 and May 1. Submitting the annual report on time avoids a late fee.

Florida’s published LLC fee schedule lists the annual report and supplemental fee as $138.75, and the annual report received after May 1 as $538.75.

Annual state compliance checklist

Each year:

1. File the Florida annual report.
2. Confirm the registered agent.
3. Confirm principal office address.
4. Confirm mailing address.
5. Confirm managers or authorized persons.
6. Confirm each protected series listed as required.
7. Pay all required fees.
8. Save proof of filing.
9. Order a certificate of status if needed.
10. Update the company minute book or records binder.
11. Review each protected series.
12. Confirm which series remain active.
13. Dissolve or wind up unused series properly.
14. Review tax classification and CPA records.
15. Confirm insurance coverage.
16. Confirm bank accounts.
17. Confirm leases and contracts.
18. Confirm asset schedules.

15. BENEFICIAL OWNERSHIP REPORTING

Beneficial ownership reporting under the Corporate Transparency Act has changed significantly.

As of the current FinCEN guidance reviewed for this manual, FinCEN states that domestic companies and U.S. persons are exempt from BOI reporting requirements under the interim final rule, while certain foreign companies registered to do business in the United States may still have reporting obligations.

Practical warning

This area has changed several times and may change again.

The owner should not rely on old BOI instructions, old deadlines, or outdated third-party articles. Before assuming no filing is required, check current FinCEN guidance or consult counsel.

16. PIERCING THE CORPORATE VEIL AND ALTER EGO RISK

Limited liability is one of the main reasons people form LLCs.

But limited liability can be lost or weakened if the owner misuses the entity.

“Piercing the corporate veil” means a court disregards the entity’s liability shield and allows a creditor to reach assets or persons that would normally be protected.

In a series LLC context, there are several possible piercing or disregard risks:

1. A claimant may try to reach the owner personally.
2. A claimant may try to reach the parent LLC.
3. A claimant may try to reach another protected series.
4. A claimant may argue that the series was not properly maintained.
5. A claimant may argue that the parent LLC and series were alter egos of each other.
6. A claimant may argue that the owner used the structure to mislead creditors or avoid obligations.

What creates veil-piercing risk?

Common risk factors include:

1. Commingling personal and company funds.
2. Using the LLC account as a personal checking account.
3. Failing to keep records.
4. Failing to document asset ownership.
5. Misrepresenting who owns an asset.
6. Undercapitalizing the business.
7. Using the company to commit fraud.

8. Signing contracts personally.
9. Ignoring the operating agreement.
10. Moving assets between series without documentation.
11. Paying Series A expenses from Series B funds.
12. Depositing Series B income into Series A accounts.
13. Failing to maintain insurance.
14. Treating all series as one undifferentiated business.
15. Holding out the wrong party to customers, tenants, lenders, or vendors.

The practical standard

Ask yourself:

If a judge, creditor, IRS agent, lender, or title company looked at the records, could they clearly tell which assets, income, expenses, contracts, and liabilities belong to each series?

If the answer is no, the structure needs cleanup. Sooner than later!

17. HOW TO MAINTAIN LIABILITY PROTECTION

To maintain the benefits of a series LLC, the owner should operate with discipline.

Core operating rules

1. Keep personal funds separate.
2. Keep parent LLC funds separate.
3. Keep each series' funds separate.
4. Title assets correctly.
5. Use written transfer documents.
6. Use written resolutions.
7. Use correct contracts.
8. Use correct signature blocks.
9. Maintain separate ledgers.
10. Maintain separate asset schedules.
11. Avoid undocumented interseries transfers.
12. Avoid personal use of company assets.
13. Keep adequate insurance.
14. File annual reports.
15. Pay state fees.
16. Keep tax records.
17. Consult a CPA annually.
18. Review the operating agreement.
19. Document major decisions.
20. Correct mistakes quickly.

The “separate pocket” rule

Treat each series as a separate pocket.

Do not casually move money, assets, debts, contracts, or liabilities between pockets.

If money moves, document why.

If an asset moves, document the transfer.

If an expense benefits more than one series, allocate it reasonably and document the allocation.

18. MANAGER AND MEMBER LIABILITY

An LLC does not mean the manager or member can never be personally liable.

Florida law provides standards of conduct for LLC members and managers. Each manager of a manager-managed LLC and each member of a member-managed LLC owes fiduciary duties of loyalty and care to the LLC and its members. They must also act consistently with the obligation of good faith and fair dealing.

Florida law also contains a limitation of liability for managers and members, but that protection is not absolute. The statute addresses circumstances involving breaches or failures to perform duties, including conduct involving recklessness, improper personal benefit, willful actions, certain knowing violations of law, and other specified conduct.

Personal liability can arise from:

1. Personal guarantees.
2. Personal wrongdoing.
3. Fraud.
4. Misrepresentation.
5. Reckless or intentional torts.
6. Signing contracts personally.
7. Payroll tax obligations.
8. Sales tax obligations.
9. Improper distributions.
10. Environmental liabilities.
11. Unlicensed activity.
12. Breach of fiduciary duties.
13. Self-dealing.
14. Commingling funds.
15. Misuse of company property.

16. Failure to disclose agency capacity.
17. Operating outside authority.
18. Violating the operating agreement.

Example: personal guarantee

If the LLC signs a lease but the owner also signs a personal guarantee, the owner may be personally liable even though the LLC exists.

Example: personal wrongdoing

If a manager personally commits fraud, the LLC does not automatically protect the manager from personal liability for that conduct.

Example: improper signing

If the contract signature block does not identify the LLC or series, the signer may create an argument that they signed personally.

19. CHARGING ORDER PROTECTION

Charging order protection is often misunderstood.

It does not mean the LLC can never be sued.

It does not mean LLC assets are immune from LLC creditors.

It does not mean a creditor with a claim against the LLC cannot reach LLC assets.

Instead, charging order protection generally deals with a creditor of an individual member.

Basic example

Assume John owns a membership interest in an LLC.

John personally loses a lawsuit unrelated to the LLC.

The creditor wants to reach John's LLC interest.

A charging order may give the creditor a lien on John's transferable interest and the right to receive distributions that would otherwise be paid to John.

Florida law states that, except as otherwise provided, a charging order is a lien on the judgment debtor's transferable interest and requires the LLC to pay over distributions that would otherwise be paid to the debtor.

Florida law also states that, except as provided in certain subsections, a charging order is the sole and exclusive remedy by which a judgment creditor of a member or transferee may satisfy a judgment from the debtor's LLC interest or rights to distributions.

Important single-member LLC exception

Florida law contains an important exception for single-member LLCs. If an LLC has only one member and a creditor shows that distributions under a charging order will not satisfy the judgment within a reasonable time, the charging order may not be the sole and exclusive remedy, and the court may order a foreclosure sale of the interest (i.e., the creditor is permitted to take the LLC and everything the LLC owns). Not fun at all.

Charging order protection does not protect against:

1. Claims against the LLC itself.
2. Claims against a protected series itself.
3. Claims secured by a mortgage or lien.
4. Personal guarantees.
5. Tax liens.
6. Fraudulent transfers.
7. Owner misconduct.
8. Veil piercing.
9. Foreclosure of collateral.
10. Claims by creditors of a single-member LLC in certain circumstances.

Simple way to explain it

Charging order protection is about a creditor trying to reach the owner's membership interest.

It is not the same as liability protection for business operations.

20. INSURANCE AND RISK MANAGEMENT

A series LLC is not a substitute for insurance.

Every series should be reviewed for appropriate insurance coverage.

Common policies to consider

1. General liability insurance.

2. Property insurance.
3. Landlord insurance.
4. Commercial auto insurance.
5. Workers’ compensation.
6. Professional liability.
7. Errors and omissions.
8. Cyber liability.
9. Umbrella coverage.
10. Directors and officers or management liability coverage, where appropriate.

Insurance checklist

For each protected series:

1. Identify the asset or activity.
2. Identify the risks.
3. Confirm the named insured.
4. Confirm the correct series is covered.
5. Confirm the parent LLC is covered if needed.
6. Confirm additional insureds.
7. Confirm lender requirements.
8. Confirm property address.
9. Confirm exclusions.
10. Confirm policy limits.
11. Save the declarations page.
12. Review annually.

21. TRAPS FOR THE UNWARY

Trap 1: Forming the LLC but never creating the series

A parent LLC alone is not the same thing as multiple protected series.

Trap 2: Creating series but not transferring assets

If the asset remains personally owned, the series may not protect it.

Trap 3: Titling assets only in the parent LLC

If everything is titled in the parent LLC, the owner may not get the intended series-by-series segregation.

Trap 4: No separate records

If the owner cannot prove which asset belongs to which series, liability segregation may be weakened.

Trap 5: One bank account for everything

A single mixed account can create commingling issues and accounting confusion.

Trap 6: Personal expenses from company accounts

This is one of the worst habits for limited liability.

Trap 7: Signing personally

Always sign in the correct representative capacity.

Trap 8: Ignoring tax classification

Series LLC tax treatment is complex. Do not assume.

Trap 9: Assuming every state recognizes the series

If a series owns property or does business outside Florida, the law of the other state may matter.

Trap 10: Ignoring lenders and title companies

Some lenders and title companies may not be familiar with series LLCs.

Trap 11: No insurance

Asset protection planning without insurance is incomplete.

Trap 12: Moving assets after a claim arises

Transfers made to avoid creditors may create fraudulent transfer problems.

Trap 13: Failing to list protected series on the annual report

Florida law requires series LLC annual reports to include names of protected series that have been designated and have not dissolved and completed winding up.

Trap 14: Believing “disregarded entity” means “no records”

Disregarded entity is a tax classification. It does not mean you can ignore legal records, accounting records, contracts, or state compliance.

Trap 15: Confusing charging order protection with business liability protection

Charging order protection protects against certain creditor remedies against a member's interest. It does not protect LLC assets from LLC creditors.

22. PRACTICAL EXAMPLES

Example 1: Real estate investor

Maria owns three rental properties.

She creates:

Florida Protected Series, LLC
Protected Series A: Duplex
Protected Series B: Condo
Protected Series C: Single-family rental

Each series has:

1. Its own asset schedule.
2. Its own lease.
3. Its own bank account.
4. Its own insurance.
5. Its own income and expense ledger.
6. Its own property file.

This is a strong use case.

Example 2: Bad real estate structure

Maria forms a series LLC but leaves all deeds in her personal name.

Result: the series LLC may not own the properties.

Example 3: Parent LLC confusion

Maria deeds all properties to:

Florida Protected Series, LLC

but never designates which property belongs to which series.

Result: the properties may be treated as parent LLC assets rather than series assets.

Example 4: Business lines

A company operates:

Series A: Online store
Series B: Consulting business
Series C: Equipment leasing

Each series has separate contracts, bank accounts, income, expenses, and insurance.

This may help separate risks from different business activities.

Example 5: Interseries transfer

Series A sells equipment to Series B.

Best practice:

1. Written bill of sale.
2. Written consent or resolution.
3. Fair value or documented transfer value.
4. Payment record.
5. Updated asset schedules.
6. Updated books for both series.

23. ANNUAL MAINTENANCE CHECKLIST

Every year, the owner should complete this checklist.

State compliance

1. File Florida annual report.
2. Pay annual report fee.
3. Confirm May 1 deadline.
4. Confirm registered agent.
5. Confirm principal office.
6. Confirm manager/member information.
7. Confirm each active protected series is listed as required.
8. Save confirmation.
9. Order certificate of status if needed.

Tax compliance

1. Meet with CPA.
2. Confirm tax classification.
3. Confirm whether each series needs an EIN.
4. Confirm whether each series has filing obligations.
5. Prepare separate ledgers.
6. Prepare depreciation schedules.
7. Track contributions and distributions.
8. Track interseries transfers.
9. Issue 1099s if required.
10. Confirm payroll treatment if applicable.
11. Confirm sales tax obligations if applicable.

Legal compliance

1. Review operating agreement.
2. Review series designations.
3. Review contracts.
4. Review leases.
5. Review signature blocks.
6. Review licenses and permits.
7. Review foreign qualification.
8. Document major decisions.
9. Update asset schedules.
10. Properly dissolve inactive series.

Banking and records

1. Reconcile accounts.
2. Confirm no personal expenses.
3. Confirm no commingling.
4. Confirm separate books.
5. Confirm income is deposited correctly.
6. Confirm expenses are paid correctly.
7. Confirm loan records.
8. Confirm capital contribution records.

Insurance

1. Review all policies.
2. Confirm named insureds.
3. Confirm series coverage.

4. Confirm property coverage.
5. Confirm liability limits.
6. Confirm additional insureds.
7. Confirm lender requirements.
8. Save declarations pages.

24. ASSET TRANSFER CHECKLIST

Use this before moving any asset into the parent LLC or a protected series.

1. Identify the asset.
2. Identify the current owner.
3. Identify the intended new owner.
4. Decide whether the asset belongs to the parent LLC or a specific protected series.
5. Review the operating agreement.
6. Confirm authority to transfer.
7. Confirm lender consent.
8. Confirm contract restrictions.
9. Confirm title requirements.
10. Confirm tax consequences.
11. Confirm insurance consequences.
12. Prepare written transfer document.
13. Prepare company resolution.
14. Record transfer if required.
15. Update title records.
16. Update asset schedule.
17. Update accounting ledger.
18. Update insurance.
19. Update contracts.
20. Save all documents.

25. REAL ESTATE CHECKLIST

Before transferring real estate:

1. Review deed.
2. Review mortgage.
3. Review due-on-sale clause.
4. Contact lender if required.
5. Contact title company.
6. Confirm grantee name.
7. Confirm series designation.
8. Confirm documentary stamp tax.
9. Confirm recording fees.

10. Confirm title insurance impact.
11. Confirm property tax impact.
12. Confirm homestead impact.
13. Confirm HOA or condo restrictions.
14. Prepare deed.
15. Prepare resolution.
16. Record deed.
17. Update leases.
18. Transfer security deposits.
19. Update insurance.
20. Update rent payment instructions.
21. Update books.
22. Update asset schedule.
23. Save recorded deed.

26. SERIES COMPLIANCE CHECKLIST

For each protected series, maintain a file containing:

1. Series designation.
2. Series name.
3. Date created.
4. Business purpose.
5. Associated members.
6. Series manager.
7. Asset schedule.
8. Bank account records.
9. Tax classification memo.
10. EIN confirmation, if applicable.
11. Contracts.
12. Leases.
13. Insurance records.
14. Licenses.
15. Permits.
16. Income ledger.
17. Expense ledger.
18. Contribution records.
19. Distribution records.
20. Loan records.
21. Interseries transfer records.
22. Annual review notes.
23. Dissolution records, if applicable.

27. SAMPLE INTERNAL LANGUAGE

Use only as an example. This is not legal advice and should be reviewed by counsel.

Sample asset allocation resolution

The Company hereby confirms that the asset described below shall be treated as an associated asset of Protected Series A of Florida Protected Series, LLC.

Asset: 123 Main Street, Orlando, Florida
Date acquired: [Date]
Transferor: [Name]
Consideration: [Amount or contribution description]
Associated Series: Protected Series A

The Company's books, records, accounting ledger, insurance records, and asset schedule shall be updated to reflect this allocation.

Sample signature block

Florida Protected Series, LLC, on behalf of Protected Series A

By: ___________________________
Name: _________________________
Title: Manager
Date: _________________________

Sample bill of sale language

For value received, Transferor hereby sells, assigns, transfers, and conveys to Florida Protected Series, LLC, on behalf of Protected Series A, all right, title, and interest in and to the asset described on Exhibit A.

Sample asset schedule

Series	Asset	Date Acquired	Transferor	Value	Document	Location
Series A	123 Main Street	8/1/2026	John Smith	$300,000	Deed	Series A file
Series B	Equipment	9/1/2026	ABC Seller	$25,000	Bill of Sale	Series B file

28. GLOSSARY

Articles of organization

The formation document filed with the state to create an LLC.

Asset schedule

A written list of assets owned by the parent LLC or a protected series.

Charging order

A court order giving a creditor rights to distributions that would otherwise be paid to a debtor-member.

Disregarded entity

A tax classification where an entity is disregarded as separate from its owner for federal income tax purposes.

Fiduciary duty

A legal duty of loyalty, care, good faith, or fair dealing owed by certain members or managers.

Manager

A person authorized to manage a manager-managed LLC or series.

Member

An owner of an LLC.

Operating agreement

The contract governing the LLC and its members, managers, and series.

Parent LLC

The main LLC that creates protected series.

Protected series

A separate protected series within a series LLC.

Series LLC

An LLC authorized to create protected series.

Veil piercing

A legal theory used to disregard limited liability.

29. FREQUENTLY ASKED QUESTIONS

Is a series LLC the same as forming several separate LLCs?

No. A series LLC is one parent LLC with one or more protected series. It may function similarly to separate compartments, but it is not identical to forming separate LLCs.

Does each series need its own bank account?

Separate bank accounts are strongly recommended when practical. At minimum, each series needs separate books and records.

Can one series own real estate?

Yes, if properly created, documented, titled, and maintained.

Can I keep property in my personal name and still have the LLC protect it?

Generally, no. If the LLC or series does not own the asset, the asset may not receive the intended protection.

Can I title everything in the parent LLC?

You can, but that may defeat part of the reason for using protected series. If the goal is series-level segregation, the records should identify which series owns or is associated with each asset.

Does the series LLC automatically protect me personally?

No. You may still be personally liable for personal guarantees, your own misconduct, fraud, improper distributions, tax obligations, or contracts signed personally.

Does a series LLC replace insurance?

No. Insurance remains essential.

Does each series file its own tax return?

Maybe. It depends on tax classification, ownership, elections, and IRS rules. A CPA should review this.

Does the parent LLC file one tax return for all series?

Not always. That statement is too broad. Some structures may involve owner-level reporting or combined workpapers, but IRS/Treasury proposed regulations treat domestic series as entities formed under local law for federal tax classification purposes.

What is the biggest mistake owners make?

The biggest mistake is forming the entity but failing to operate it correctly. A series LLC requires disciplined records, proper titling, separate accounting, correct contracts, and ongoing compliance.

FINAL OWNER’S RULE

A Florida series LLC should be treated like a professional asset protection and operating system.

The structure works best when every asset, contract, dollar, liability, tax item, and record has a clear home.

The owner should always be able to answer:

Which series owns this asset?
Which series earned this income?
Which series owes this debt?
Which series signed this contract?
Which series paid this expense?
Which series is insured?
Which records prove it?

When the answer is clear, documented, and consistent, the series LLC is being used correctly.

When the answer is unclear, undocumented, or inconsistent, the owner has work to do.